Oracle Fusion Applications

Finance Module — Training Guide

AR Trial Balance vs GL Trial Balance

Concepts • Full AR-to-GL Transaction Flow • Balance Sheet Impact • Reconciliation

What is a Trial Balance?

A Trial Balance is a financial report that lists all account balances at a specific point in time. Its core purpose is to verify the fundamental accounting equation:

Total Debits = Total Credits

In Oracle Fusion, two key trial balance reports are used in the Receivables (AR) function: the AR Trial Balance (Subledger level) and the GL Trial Balance (General Ledger level). Both must always reconcile with each other.

AR Trial Balance Report

Concept

The AR (Accounts Receivable) Trial Balance is a subledger-level report. It shows the outstanding balances owed BY customers to your company at a given date. It lives inside the Receivables Module and tracks each transaction at the customer and invoice level.

What it Contains

- All unpaid or partially paid customer invoices
- Transactions organized by Customer / Invoice / Receipt
- Receivable balances from the AR Subledger
- Used to reconcile AR balances against the General Ledger

Key Fields in the AR Trial Balance Report

Field Name	Description
Customer Name	Customer who owes you money
Invoice Number	The specific sales invoice reference
Invoice Date	Date the invoice was issued to the customer
Due Date	Payment due date as per invoice / credit terms
Original Amount	Full invoice value billed to customer
Amount Remaining	Still uncollected / outstanding portion
Accounted Currency	Functional currency equivalent amount

GL Trial Balance Report

Concept

The GL Trial Balance is a general ledger-level report showing balances across ALL accounts — Assets, Liabilities, Revenue, Expenses — for an entire ledger. This is the consolidated financial view used for financial statement preparation.

What it Contains

- All Chart of Account segment balances
- Beginning Balance + Period Activity + Ending Balance
- Covers ALL modules: AR, AP, Fixed Assets, Payroll, etc.
- Used for financial statement preparation and management reporting

Key Fields in the GL Trial Balance Report

Field Name	Description
Account Code	GL Account number from Chart of Accounts
Account Description	e.g., AR Control, Revenue, Bank
Beginning Balance	Account balance at the start of the period
Period Debit	Total debit entries posted during the period
Period Credit	Total credit entries posted during the period
Ending Balance	Net balance at end of period

Key Difference: AR vs AP in GL

Aspect	Accounts Receivable (AR)	Accounts Payable (AP)
Who owes whom?	Customer owes YOUR company	YOUR company owes vendor
GL Control Account	AR Receivable Control (Asset)	AP Liability Control (Liability)
Normal Balance	Debit balance	Credit balance
On Balance Sheet	Current Asset	Current Liability
Invoice creates	DR AR Control / CR Revenue	DR Expense / CR AP Control
Receipt/Payment clears	DR Bank / CR AR Control	DR AP Control / CR Bank

Full AR-to-GL Transaction Flow — Step by Step

This section walks through a complete real-world AR transaction from customer invoice creation all the way to the final impact on the GL Trial Balance. Each step reflects what actually happens inside Oracle Fusion Receivables.

Scenario: XYZ Technologies Ltd — Customer Invoice

Detail	Value
Customer Name	XYZ Technologies Ltd
Invoice Number	AR-INV-001
Service / Product	Annual Software Subscription
Base Amount	Rs.2,00,000
GST / Output Tax (18%)	Rs.36,000
Total Invoice Value	**Rs.2,36,000**
Invoice Date	01-May-2026
Due Date	31-May-2026 (30-day credit terms)
Payment Received	28-May-2026 (Bank: HDFC Current A/c)

Step 1 — AR Invoice Entry (Accounts Receivable)

Customer: XYZ Technologies Ltd | Invoice #AR-INV-001 | Rs.2,00,000 + GST Rs.36,000 = Total Rs.2,36,000

DR AR Receivable A/c	Rs.2,36,000		
		CR Revenue A/c	**Rs.2,00,000**
		CR GST Output Tax Payable	**Rs.36,000**

Receivable asset created | Revenue recognised in P&L | GST output tax liability recorded

Validate & Account ↓

Step 2 — SLA Creates Accounting (Subledger Accounting Engine)

Oracle SLA applies accounting rules → creates journal lines in AR Subledger

Status: Accounted ✓ | Accounting Date: Invoice Date | Ledger: Primary Ledger | Event: Invoice Created

Customer Pays — Receipt Application ↓

Step 3 — Receipt Entry (Accounts Receivable)

Receipt #RCP-001 | Bank: HDFC Current A/c | Amount Rs.2,36,000 | Date: 28-May-2026

DR Bank / Cash Clearing A/c	Rs.2,36,000		
		CR AR Receivable A/c	**Rs.2,36,000**

Customer receipt recorded | Cash Clearing is an interim account pending bank reconciliation | AR balance cleared

Apply Receipt to Invoice ↓

Step 4 — Receipt Application & Bank Reconciliation

Receipt #RCP-001 applied against Invoice #AR-INV-001 | Bank statement line matched | Auto or Manual reconciliation

DR Bank Clearing A/c Rs.2,36,000 CR Bank / Cash A/c Rs.2,36,000

Cash Clearing offset to zero | Actual bank account increased | AR Invoice status: CLOSED

Transfer to GL ↓

Step 5 — General Ledger (Final Impact)

Journals transferred via SLA → posted in GL → AR Trial Balance & GL Trial Balance updated

Account	Debit Rs.	Credit Rs.
AR Receivable A/c (BS - Asset)	2,36,000	2,36,000 → 0
Revenue A/c (P&L)	—	2,00,000
GST Output Tax Payable (BS - Liability)	—	36,000
Bank Clearing A/c (BS)	2,36,000	2,36,000 → 0
Bank / Cash A/c (BS - Asset)	2,36,000	—

Net Result after Full Cycle:

Revenue recognised in P&L ✓ | AR Receivable cleared to zero ✓ | Cash/Bank increased ✓ | GST output tax recorded ✓

BS = Balance Sheet · P&L = Profit & Loss · Bank Clearing acts as bridge between AR Receipt and Bank Reconciliation

☑ Account-wise Balance Sheet & P&L Impact

The table below shows the exact movement in each account after the full AR-to-GL cycle completes for the XYZ Technologies Ltd invoice.

Summary Metrics

Total Invoice Value	Revenue Recognised	Cash Inflow	Clearing Balances
Rs.2,36,000 (Incl. GST Rs.36,000)	**Rs.2,00,000 (P&L Impact)**	**Rs.2,36,000 (Bank Increased)**	**Rs.0 (Fully Reconciled)**

Balance Sheet Accounts — Detailed Movement

Account	Type	Opening Bal.	Total DR	Total CR	Net Move	Closing Bal.
AR Receivable A/c 1200 · Trade Receivables *Step 1: DR Rs.2,36,000 | Step 3: CR Rs.2,36,000*	**BS**	Rs.0	Rs.2,36,000	Rs.2,36,000	Rs.0	**NIL**
Bank Clearing A/c 1095 · AR Cash Clearing *Step 3: DR Rs.2,36,000 | Step 4: CR Rs.2,36,000*	**BS**	Rs.0	Rs.2,36,000	Rs.2,36,000	Rs.0	**NIL**
Bank / Cash A/c 1010 · HDFC Current A/c *Step 4: DR Rs.2,36,000*	**BS**	Rs.5,00,000	Rs.2,36,000	—	+ Rs.2,36,000	**Rs.7,36,000**
GST Output Tax Payable 2310 · GST Output Credit *Step 1: CR Rs.36,000*	**BS**	Rs.0	—	Rs.36,000	- Rs.36,000	**Rs.36,000 Cr**

Profit & Loss Accounts — Detailed Movement

Account	Type	Opening Bal.	Total DR	Total CR	Net Move	Closing Bal.
Revenue / Sales A/c 4000 · Sales Revenue *Step 1: CR Rs.2,00,000*	**P&L**	Rs.0	—	Rs.2,00,000	+ Rs.2,00,000	**Rs.2,00,000 Cr**

☑ Trial Balance Check — Final Verification

After all journal entries are transferred from AR Subledger and posted to GL, the Trial Balance must show equal total debits and total credits. Here is the final Trial Balance for our example:

Account	Type	Total DR (Rs.)	Total CR (Rs.)	Net (Rs.)
Revenue / Sales A/c	P&L	—	2,00,000	2,00,000 CR
GST Output Tax Payable	BS	—	36,000	36,000 CR
AR Receivable A/c	BS	2,36,000	2,36,000	Nil
Bank Clearing A/c	BS	2,36,000	2,36,000	Nil
Bank / Cash A/c	BS	2,36,000	—	2,36,000 DR
TOTAL		**7,08,000**	**7,08,000**	**Balanced ✓**

☑ Total Debits = Total Credits = Rs.7,08,000 ✓ The Trial Balance is BALANCED — books are clean!

AR TB vs GL TB — Reconciliation Example

Scenario: May 2026 — Three Customer Invoices

Customer	Invoice #	Amount	Status
XYZ Technologies	AR-INV-001	Rs.2,36,000	Fully Collected ✓
Reliance Infra	AR-INV-002	Rs.1,18,000	Partially Collected (Rs.50,000 recd.)
Mahindra Group	AR-INV-003	Rs.94,400	Unpaid ✕

AR Trial Balance — 31-May-2026

Customer	Invoice #	Original	Collected	Balance Due
XYZ Technologies	AR-INV-001	Rs.2,36,000	Rs.2,36,000	**Rs.0**
Reliance Infra	AR-INV-002	Rs.1,18,000	Rs.50,000	**Rs.68,000**
Mahindra Group	AR-INV-003	Rs.94,400	Rs.0	**Rs.94,400**
TOTAL		**Rs.4,48,400**	**Rs.2,86,000**	**Rs.1,62,400**

☑ AR Trial Balance Total = Rs.1,62,400 (Amount still outstanding from customers)

GL Trial Balance — 31-May-2026

Code	Description	Beg Bal	Period Dr	Period Cr	End Balance
11010	AR Control (Asset)	Rs.0	Rs.4,48,400	Rs.2,86,000	**Rs.1,62,400 Dr**
40001	Sales Revenue	Rs.0	Rs.0	Rs.3,80,000	**Rs.3,80,000 Cr**

10001	Bank / Cash	Rs.5,00,000	Rs.2,86,000	Rs.0	**Rs.7,86,000 Dr**

AR Trial Balance Rs.1,62,400 = GL AR Control Account Rs.1,62,400 ✓ Reconciled!

Key Differences at a Glance

Aspect	AR Trial Balance	GL Trial Balance
Module	Accounts Receivable (Subledger)	General Ledger
Level	Customer / Invoice detail	Account / Segment level
Scope	Only AR transactions	All financial transactions
Purpose	What customers owe YOUR company	Overall financial position
Used by	AR Team / Credit Controller	Finance Controller / CFO
Matches to	GL AR Control Account	Financial Statements
Normal Balance	Debit (Asset)	Depends on account type
Frequency	Daily / Month-end	Period-end / Year-end
Drill-down	Yes — to invoice / receipt level	Yes — to journal level

Where to Find These Reports in Oracle Fusion

Report	Navigation Path in Oracle Fusion
AR Trial Balance	Receivables › Reports › Receivables Trial Balance
GL Trial Balance	General Ledger › Reports › Trial Balance
Subledger Recon	Accounting › Reconciliation Reports
AR to Ledger Recon	Receivables › Reports › Receivables to Ledger Reconciliation
Customer Account Stmt	Receivables › Reports › Customer Statement

⚠ What Causes Differences Between AR TB and GL TB?

The AR Trial Balance and the GL AR Control Account should always match. When they don't, it is called a reconciling difference that must be investigated and resolved promptly.

Cause 1 — Unposted Receipts / Invoices in AR

What happens: A receipt or invoice is created in AR but **NOT yet transferred to GL**. AR TB sees it; GL does not.

Scenario: Receipt RCP-005 from Tata Steel for Rs.75,000 applied in AR but 'Create Accounting' process not yet run.

Transaction	AR Trial Balance	GL Trial Balance
Tata Steel — RCP-005 applied	Rs.75,000 cleared ☑	Rs.75,000 still showing ✕
Difference		**Rs.75,000 ✕**

Fix: Run 'Create Accounting' and 'Transfer to GL' in Fusion for all unaccounted AR transactions.

Cause 2 — Manual Journal Entries Posted Directly to GL

What happens: Someone posts a manual JE directly to the AR Control account in GL without creating a proper credit memo or adjustment in AR Subledger.

Scenario: GL accountant posts Rs.40,000 debit to AR Control as 'bad debt write-off' directly in GL without raising a write-off transaction in AR.

	AR Trial Balance	GL Trial Balance
Balance Before	Rs.5,00,000	Rs.5,00,000
Manual JE Impact	No Change	- Rs.40,000
Balance After	**Rs.5,00,000**	**Rs.4,60,000 ✕**

Fix: Reverse the manual JE. Create a proper Write-off or Credit Memo in Receivables instead.

⚠ Best Practice: Set AR Control Account as 'Post Manually = No' in Fusion to prevent direct GL entries.

Cause 3 — Accounting Date / Period Cut-off Mismatch

Scenario: Invoice raised on 29-May but Accounting Date set to 01-Jun by mistake.

Period	AR Trial Balance	GL Trial Balance
May	Rs.94,400 included ☑	Rs.0 — not in May GL ✕
June	Rs.94,400 included ☑	Rs.94,400 ☑

Fix: Correct the Accounting Date before posting. Always ensure invoice date and accounting date are in the same open period.

Cause 4 — Currency Conversion / Revaluation Differences

Scenario: USD invoice $5,000 @ Rs.82/USD = Rs.4,10,000 recorded in AR. Month-end revaluation rate Rs.85/USD posts Rs.15,000 unrealised gain.

	AR Trial Balance	GL Trial Balance
AR Control Balance	Rs.4,10,000	Rs.4,25,000
Difference (Revaluation)		**Rs.15,000**

Note: This difference is EXPECTED — it ties to the Unrealised Gain/Loss account in GL. Run AR Revaluation Report to confirm.

Cause 5 — Reversed Receipts / Credit Memos Not Posted to GL

Scenario: Credit Memo of Rs.30,000 raised in AR for a returned item. AR TB reflects reduction but 'Create Accounting' not run for the credit memo.

	AR Trial Balance	GL Trial Balance
Customer Balance	Reduced by Rs.30,000 ☑	Not reduced ✗
Difference		**Rs.30,000 ✗**

Fix: Run 'Create Accounting' for the credit memo to post the reversal entry to GL.

Cause 6 — Wrong Receivable Account Used During Invoice Entry

Scenario: Invoice Rs.50,000 accidentally coded to 'Other Receivables 11099' instead of 'AR Control 11010'.

Account	AR Trial Balance	GL Trial Balance
11010 — AR Control	Rs.50,000 ☑	Rs.0 ✗
11099 — Other Receivables	Not visible in AR TB	Rs.50,000 ⚠

Fix: Check Invoice Distribution and correct the Receivable Account via an AR adjustment or re-entry.

Master Summary — All 6 Causes of Differences

#	Cause	AR TB Impact	GL TB Impact	Type	Fix
1	Unposted Receipts/Invoices	☑ Cleared	✕ Still showing	**Timing**	Post to GL
2	Manual GL Journal on AR A/c	✕ Not reflected	☑ Adjusted	**Error**	Reverse JE
3	Accounting Date Mismatch	☑ In AR period	✕ Wrong period	**Timing**	Fix Acct Date
4	Currency Revaluation	Invoice rate	Revalued rate	**Expected**	Revalue report
5	Credit Memo / Reversal Not Posted	☑ Reduced	✕ Not reduced	**Process Gap**	Post reversal
6	Wrong Receivable Account	☑ In AR TB	✕ Wrong GL A/c	**Data Error**	Fix Invoice

☑ Month-End Reconciliation Checklist in Oracle Fusion

Step	Action	Purpose
1	**Run AR Trial Balance Report**	Get total AR outstanding balance from customers
2	**Run GL Trial Balance Report**	Get AR Control Account balance
3	**Compare both totals**	Identify the difference amount
4	**Run 'Unaccounted Transactions' Report**	Find unposted receipts/invoices (Cause #1)
5	**Review Manual Journals on AR Account**	Find direct GL entries (Cause #2)
6	**Check Period cut-off / Accounting Dates**	Fix invoices in wrong period (Cause #3)
7	**Run AR Revaluation Report**	Explain FX / currency differences (Cause #4)
8	**Check all Credit Memos / Reversals**	Post reversal entries (Cause #5)
9	**Review Invoice Distributions**	Fix wrong account codes (Cause #6)

☑ **AR TB = GL AR Control Account Balance → Books are CLEAN! Close the period.**

Golden Rule in Oracle Fusion

Always run the "Receivables to Ledger Reconciliation Report"

It automatically identifies and categorizes ALL reconciling items between AR and GL in one place!

— End of Training Guide —